Item 442/2025

City of Garden Grove

INTER-DEPARTMENT MEMORANDUM

To:	Lisa L. Kim	From:	Chief El-Farra
Dept:	City Manager	Dept:	Police
		Date:	12/9/2025

Subject: Approval of a 10-Year Agreement with Axon Enterprise, Inc. and appropration of additional funding for public safety software and related components. (First Year Cost: $464,005)(Action Item)

OBJECTIVE

To obtain City Council approval of a 10-year agreement with Axon Enterprise, Inc. (Axon) for public safety software and related components in the amount of $464,005 in the first year, with 3% annual increase in subsequent years, for a total 10-year cost of $5,314,814 for the current Records Management System (RMS); to upgrade, maintain, and manage the Department's interview room software, current body worn cameras (BWC) and in-car video system (IVS), the jail management system, and the property and evidence system; and to add the Axon Fusus Real-Time Crime Center platform.

BACKGROUND

In 2019, City Council approved an agreement with Axon for the purchase and deployment of a Body Worn Camera/In-car Video system (BWC/IVS) with Evidence.com digital evidence management. Thus far, the system has exceeded expectations and the Department has experienced exceptional customer support and service from the vendor.

In 2021, the Police Department signed a contract with Axon for a RMS/CAD system that would integrate into the Axon Evidence.com digital evidence management system, which is proprietary technology. The RMS portion of the Axon system has an interview data file component for memorializing investigative interviews. It also contains a professional standards module, a jail management module, a property and evidence module, and a third-party video playback feature, all of which directly integrate into the Axon Evidence.com system. Another advantage of the Axon ecosystem is the ability to share documents and digital evidence directly with the district attorney's office.

The Axon system is cloud-based, which allows for significant cost savings on servers, storage, and maintenance performed by City IT staff. Per IT staff, cloud-based systems are preferred as they are less prone to corruption and are not as labor intensive for IT personnel.

DISCUSSION

In November 2025, members of the Garden Grove Police Department began discussions with Axon regarding a new contract as the current contract is set to expire in March 2026. During these discussions, Axon advised the Police Department of a new pricing model that they were implementing to all new customers and contract renewals. The new pricing model consists of re-evaluating the cost of the current technology deployed by the agency as the starting point of the new contract and then including a 3% year over year increase to each subsequent year of the contract until the term of the contract expires.

In these discussions, the Police Department requested to add Axon Fusus to the project, a new technology from Axon that will enhance the overall public safety plan moving forward. Axon Fusus is a Real-Time Crime Center (RTCC) platform, which integrates video and other data from various sources, including public and private cameras, drones, and Axon's own body cameras, into a single view. It helps improve situational awareness and incident response for law enforcement and first responders by connecting different public safety technologies to provide a unified and comprehensive operational picture.

Because of our continued partnership, Axon has agreed to provide the Police Department with five (5) "Outpost" fixed LPR cameras, as well as one (1) year of on-site technology services through their "TAM" (Technical Account Manager) program at no additional cost. During the contract review, the Axon team and the Police Department strategically worked to structure the contract in a manner that allowed us to take advantage of Axon's bundle pricing, which resulted in a cost-savings of $3,617,717.49 over the life of the 10-year contract. In order to take advantage of the bundle price savings and the free services outlined above, Axon is requesting that the contract be executed by December 31, 2025. The new contract would be effective on April 1, 2026.

Axon offers advanced technology and continuity of services, which helps the Police Department to efficiently continue and improve operations. Therefore, the Police Department is requesting that the City Council determine it to be in the best interest of the City to forego the bidding process and select Axon Enterprise, Inc. as the vendor for this service, pursuant to Garden Grove Municipal Code 2.50.060(G).

FINANCIAL IMPACT

Axon's pricing structure for its technology and evidence management services is influenced by multiple market-driven factors, including labor and manufacturing costs, software development expenses, and continuous technological innovations and advancements. These factors fluctuate regularly and have a direct impact on the overall cost of providing and maintaining Axon's integrated public safety platform.

To mitigate the effect of future cost escalations and to secure favorable long-term pricing, staff recommends approval of a 10-year contract term. The extended term provides cost stability and predictability, ensuring the City locks in current pricing for mission-critical technology and equipment replacements throughout the agreement. This approach also avoids the need for more frequent contract renewals that would likely result in higher annual costs due to inflation, new product cycles, and market adjustments.

The contract will cost $460,005 in the first year and includes 3% annual increases, for a total amount of $5,314,814 for all equipment, software licenses, cloud data storage, maintenance, and system upgrades over the term of the agreement.

The Axon Fusus Real-Time Crime Center platform along with enhancements to the existing services, equipment, and software, will add $300,000 per year to the current Axon contract. The Police Department's existing operating budget for the Axon contract is $165,321.22 in FY2025-26 and $184,151.24 in FY 2026-27. To approve this amended contract, an additional appropriation of $300,000 will be required for each of these fiscal years. The additional funding for FY2025-26 and FY2026-27 will be provided through SLESF funds (Fund 205).

The ongoing annual additional funding needs will be incorporated into future budget planning and may impact the General Fund if alternative funding sources are not identified.

RECOMMENDATION

It is recommended that the City Council:

- Authorize the request to dispense of the bidding process in the best interest of the City pursuant to Garden Grove Municipal Code 2.50.060(G); and

- Approve Amendment No. 1 in the amount of $5,314,814 to the Axon Master Services and Purchasing Agreement to extend the term for 10 years; and

- Approve additional allocation and appropriation in the amount of $300,000 for Fiscal Year 2025-26 and Fiscal Year 2026-27 in Fund 205; and

- Authorize the City Manager, or designee, to execute the agreement, and make minor modifications as appropriate thereto.

ATTACHMENT(S)

1. Axon - 10-Year Quote for FY 2026-35
2. Axon - Amendment 1
3. Axon - Vendor Sole Source Letter